POWERGRID Infrastructure Investment Trust

पीजीइन्विट
PGInvIT



Investor Presentation
Q3 FY2024
January 30, 2024

Disclaimer

By attending the meeting where this presentation is made, or by reading the presentation slides, you agree to be bound by the following limitations:

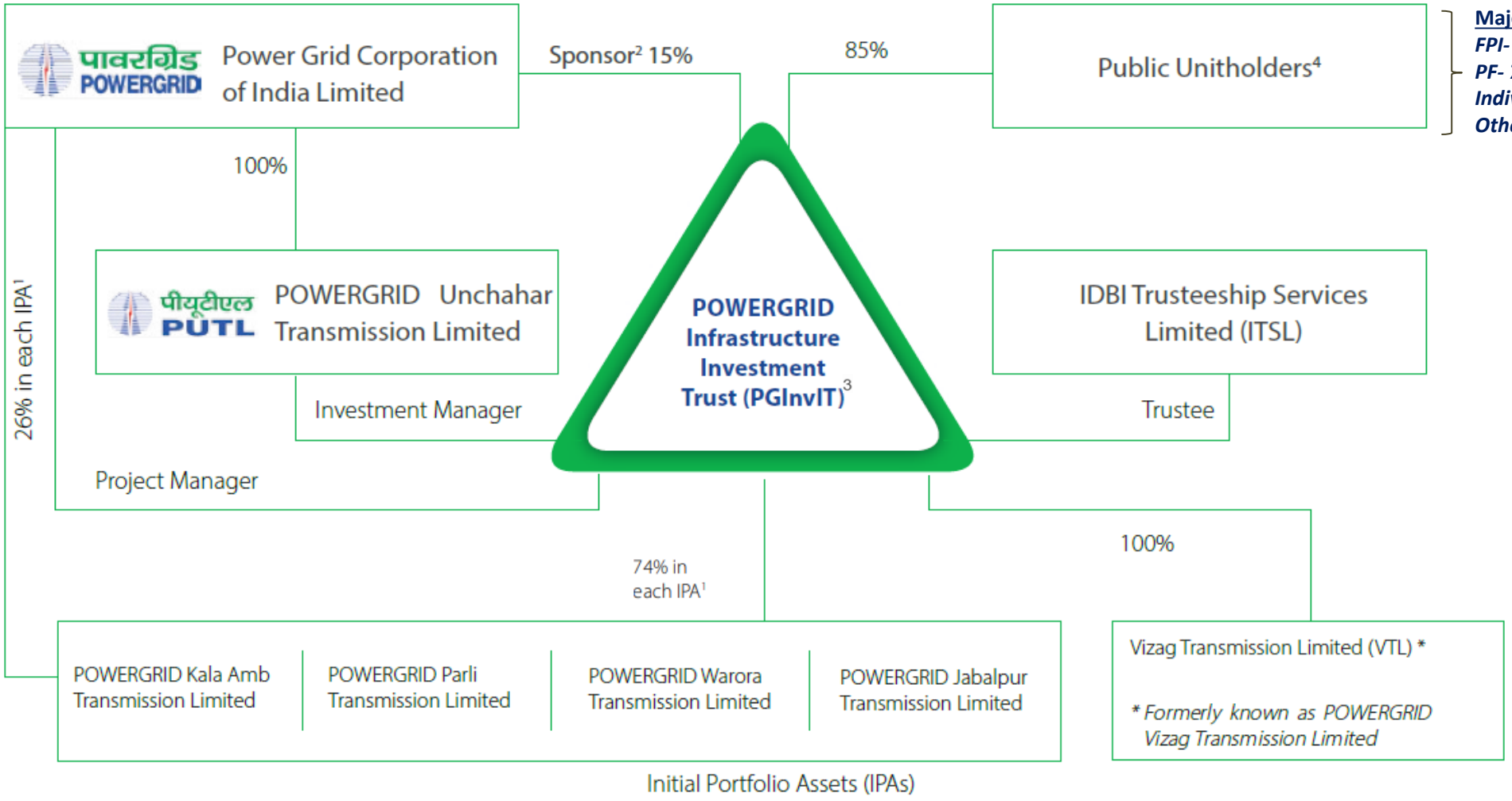
- *This document has been prepared for information purposes only and is not an offer or invitation or recommendation to buy or sell any securities of POWERGRID Infrastructure Investment Trust ("PGInvIT"/ "Trust"), nor shall part, or all, of this document form the basis of, or be relied on in connection with, any contract or investment decision in relation to any securities of the Trust.*
- *The information in this document is being provided by PGInvIT and is subject to change without notice. The Trust relies on information obtained from sources believed to be reliable but does not guarantee its accuracy or completeness.*
- *This document contains statements about future events and expectations that may be forward-looking statements. These statements typically contain words such as "expects" and "anticipates" and words of similar import. Any statement in this document that is not a statement of historical fact is a forward-looking statement that involves known and unknown risks, uncertainties and other factors which may cause our actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. None of the future projections, expectations, estimates or prospects in this document should be taken as forecasts or promises nor should they be taken as implying any indication, assurance or guarantee that the assumptions on which such future projections, expectations, estimates or prospects have been prepared are correct or exhaustive or, in the case of the assumptions, fully stated in the document. The Trust assumes no obligations to update the forward-looking statements contained herein to reflect actual results, changes in assumptions or changes in factors affecting these statements.*
- *You acknowledge that you will be solely responsible for your own assessment of the market and the market position of the Trust and that you will conduct your own analysis and be solely responsible for forming your own view of the potential future performance of the business of the Trust.*
- *Neither the delivery of this document nor any further discussions of the Trust with any of the recipients shall, under any circumstances, create any implication that there has been no change in the affairs of the Trust since that date.*

Presentation Outline

PGInvIT Overview	Trust Structure
	PGInvIT at a glance
PGInvIT Performance	Operational
	Financial
Distribution	
Project Updates	
Business Outlook	
Glossary	

PGInvIT Structure

(as on December 31, 2023)



Notes:
1. Balance 26% stake eligible for acquisition, after expiry of the lock-in conditions under the TSA.

2. Holds 136.5 mn units
3. Total 910.0 mn units
4. Hold 773.5 mn units

FPI-Foreign Portfolio Investor; IC- Insurance Cos.; PF- Pension Fund/ Provident Fund; MF- Mutual Funds

PGInvIT at a glance

India's 1st InvIT sponsored by a CPSE…. confidence of marquee investors….

….powered by AAA – Assets….Assurance….Advantage

Sponsor & Project Manager- POWERGRID ***a Maharatna CPSE; one of the largest transmission utilities, globally***	***5 Operational and Revenue Generating ISTS TBCB SPVs***	***Perpetual ownership with 35-year contract period***	***Availability-based Tariff***	***Billing and Collection through CTUIL***
11 Tr. lines; 3,699ckm **3 substations;** **6,630 MVA**	**>98%** **Availability since DOCO**	**29+ yrs** **Avg. TSA Residual Life** *(as on Mar-23)*	**Strong governance framework**	***Listed on NSE & BSE*** *part of Nifty REITs & InvITs Index*
₹ 85.90 billion ***Enterprise Value*** *(as on Sept. 30, 2023)*	***1.22%*** ***Net Debt/ AUM*** *(as on Sep 30, 2023)*	***AAA*** ***Credit Ratings***	***₹ 31.50 per Unit**** ***DPU since listing*** *(* Incl. Rs.3.00 declared on Jan 24, 2024)*	***₹ 12 per Unit*** ***DPU guidance for FY24***

Experienced Investment Manager

World Class Project Manager

Vibrant & Growing Power Sector

Debt funded acquisition strategy

PGInvIT- Initial Portfolio Assets

Description	VTL	PKATL	PPTL	PWTL	PJTL
Location	Andhra Pradesh and Telangana	Himachal Pradesh	Maharashtra	Madhya Pradesh and Maharashtra	Madhya Pradesh
No. of lines & substations	2 lines	1 line; 1 S/S	3 lines; 1 S/S	4 lines; 1 S/S	1 line
Line length (ckm)	956.84	2.47	966.12	1,028.11	745.05
Transformation capacity (MVA)	-	630	3,000	3,000	-
Comml. Operation Date	Feb 2017	Jul 2017	Jun 2018	Jul 2018	Jan 2019
% shareholding acquired by PGInvIT	74%- IPO 26%- Mar22	74%- IPO	74%- IPO	74%- IPO	74%- IPO
Lock-in expiry (for Bal. 26%)	**January 2022**	**July 2022**	**June 2023**	**July 2023**	**Jan 2024**
Residual Life of TSA (years) (as on Mar-23)	28.08	28.53	29.43	29.53	30.00

5 *TBCB projects*

11 tr. lines
3,698.59 ckm

3 *Sub-stations*
6,630 MVA

1,955.66 km
Optical ground wire

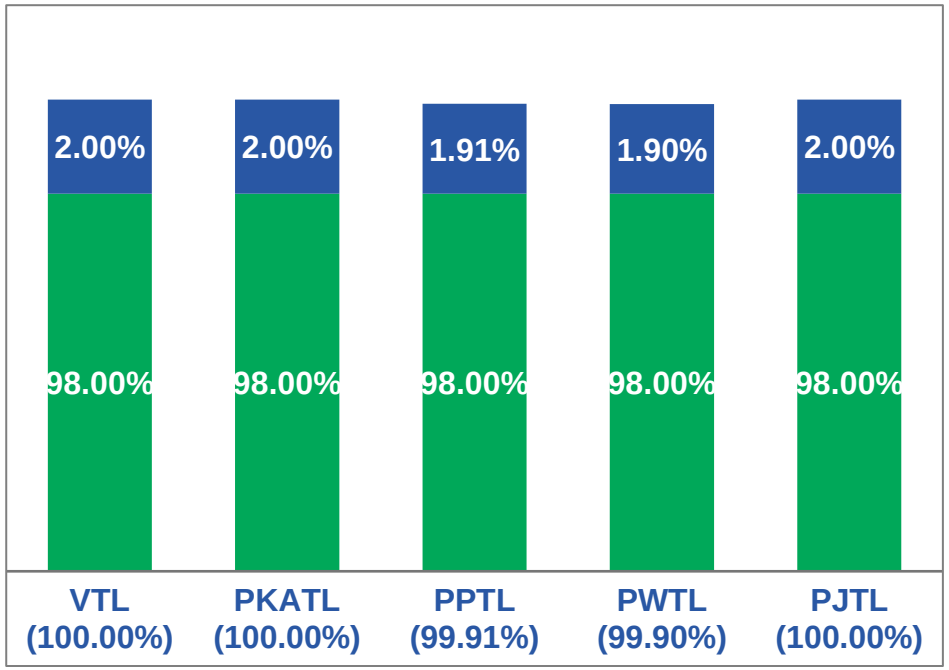
29+ years
Avg. residual life

Operational Performance – upto Q3FY24

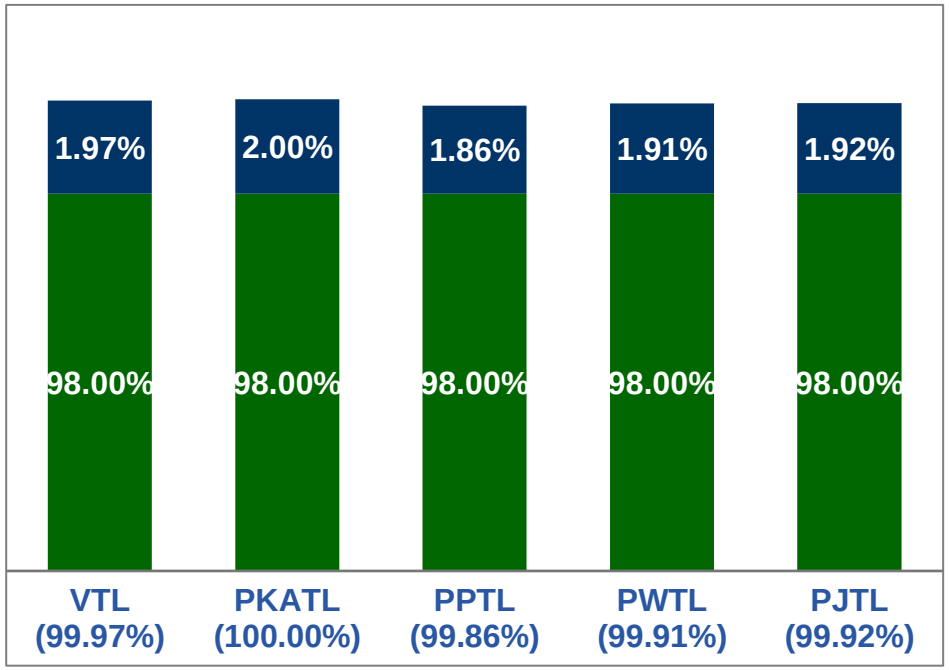
Consistently achieving Availability above benchmarks
with POWERGRID as Project Manager to PGInvIT

- Routine and Preventive Maintenance
- In-house maintenance
- OEM Support
- Safety Drills and Trainings for Teams
- Aerial Patrolling through drones

Avg. Availability* - Q3FY24



Avg. Availability* - upto Q3FY24



Target Availability Availability above Target Availability

** Provisional. Under Approval by RPC*

Efficient & Accident-Free Operations

Average Availability since DOCO ***>98%***

Financial Performance – Q3FY24

Financials providing consistent, stable, visible returns for unitholders

Financials (Consolidated)

Total Income

- ₹ 3,293.48 Mn

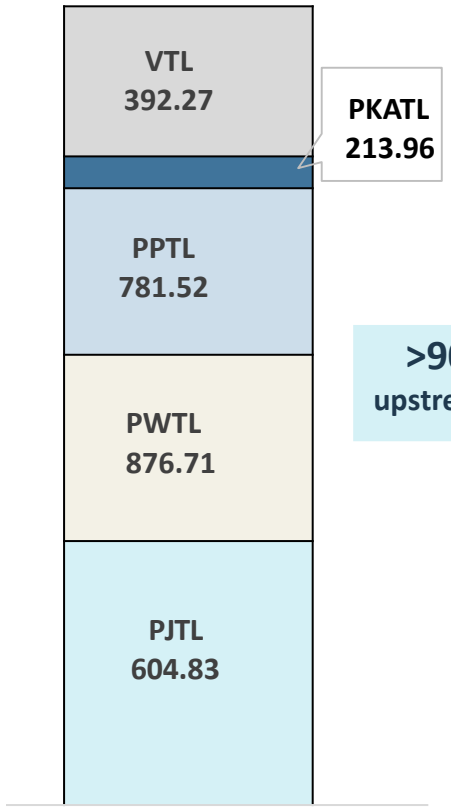
Operating Expenses

- ₹ 201.07 Mn

Total Debt
₹ 5,706 Mn

Receivable Days
59

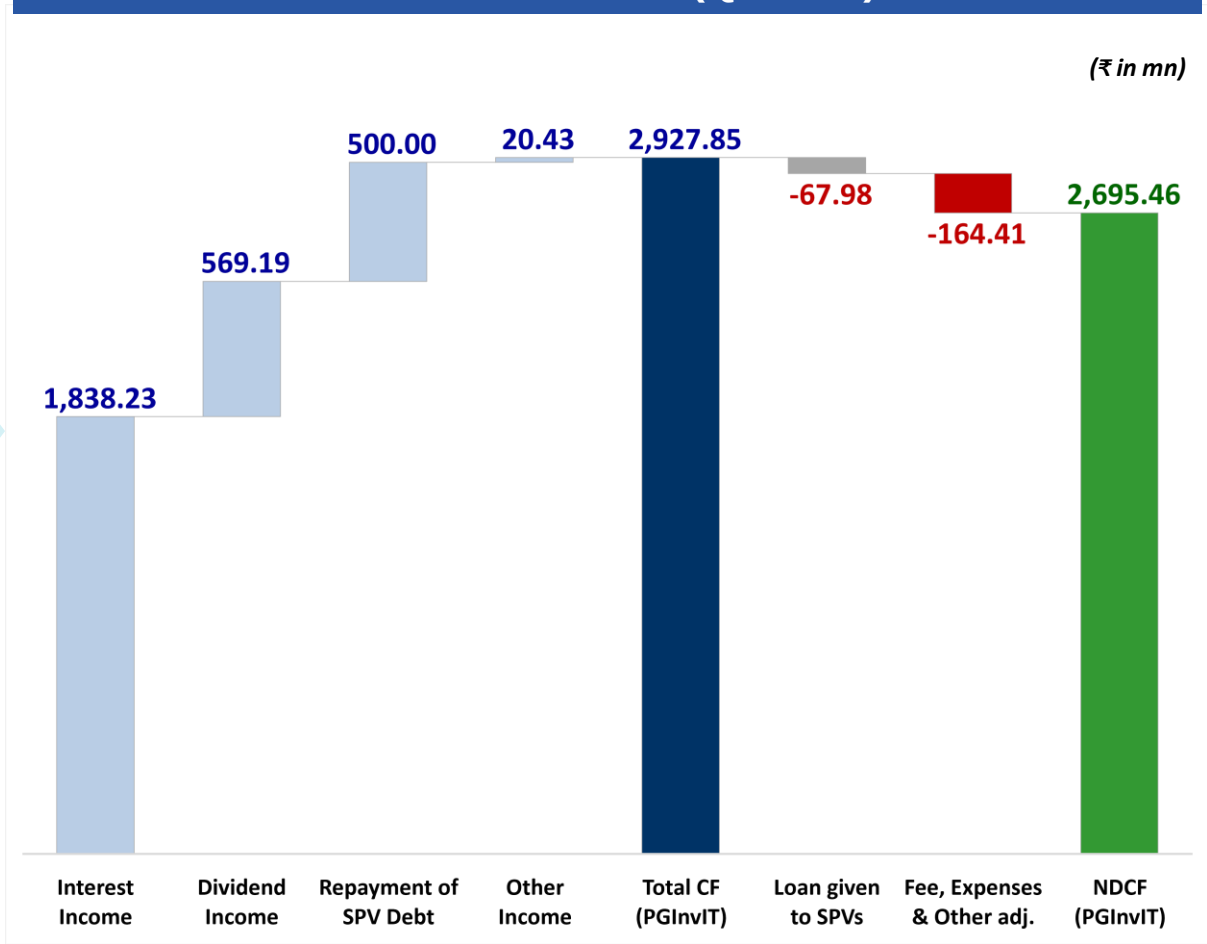
NDCF at SPVs



SPVs NDCF
(₹ 2,869.29 Mn)

>90%
upstreamed

NDCF at PGInvIT (Q3FY24)



Financial Performance – upto Q3FY24

Financials providing consistent, stable, visible returns for unitholders

Financials (Consolidated)

Total Income

- ₹ 9,760.41 Mn

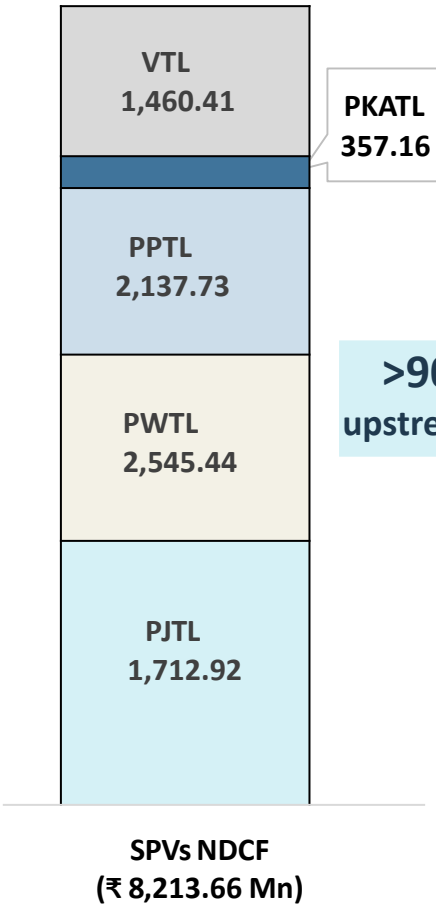
Operating Expenses

- ₹ 693.29 Mn

Total Debt
₹ 5,706 Mn

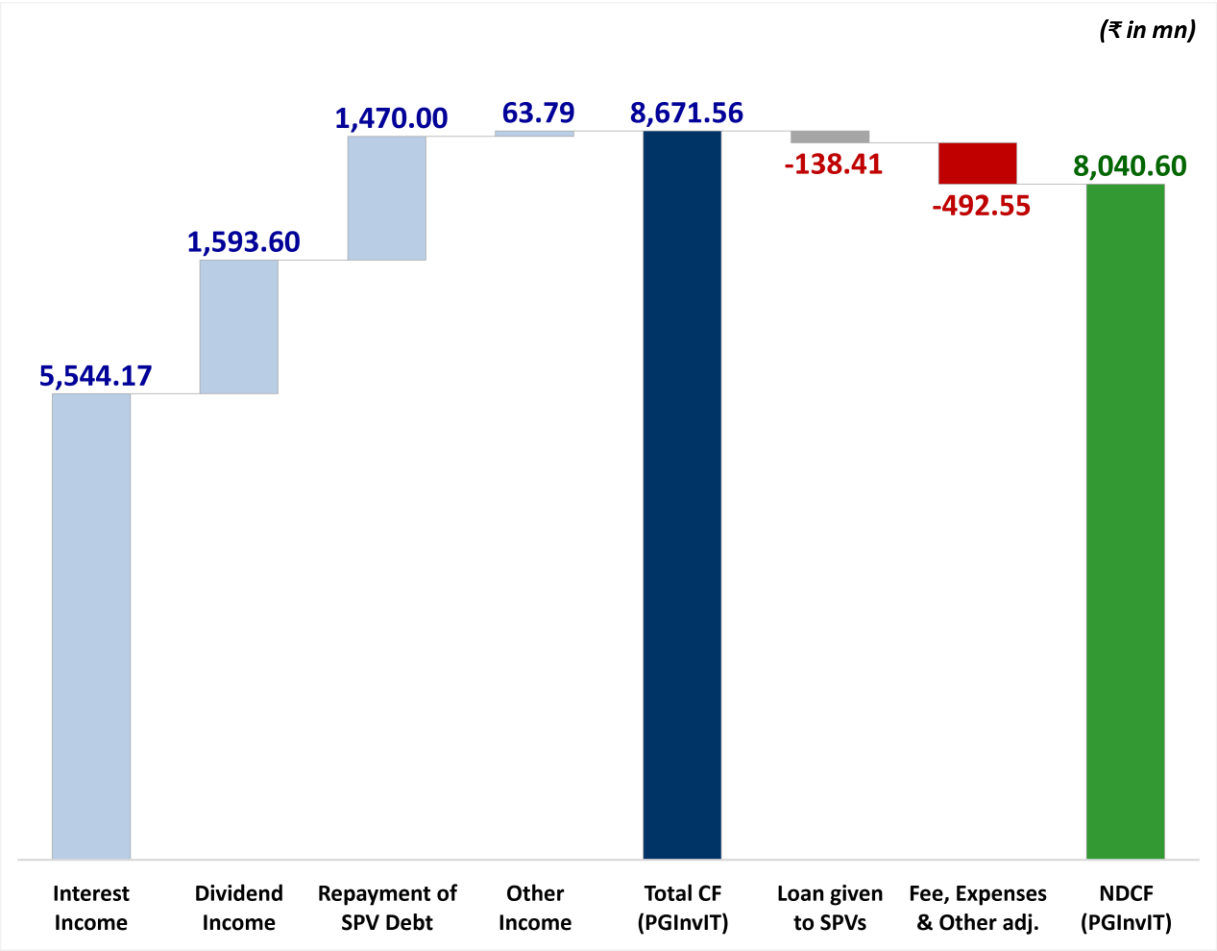
Receivable Days
59

NDCF at SPVs



>90% upstreamed

NDCF at PGInvIT (upto Q3FY24)



Debt Profile

External Debt

Bank Loan (Drawn in Mar-22)	Rate of Interest	Tenor	Loan Outstanding (as on Dec 31, 2023)
~Rs.5,756 mn	Linked to 3-month T-bill; Reset on quarterly basis	16 years	~Rs.5,706 mn

More than 80% Debt repayment post 10 years

Interest Rate as on 31.12.2023 : 8.13%

Distribution

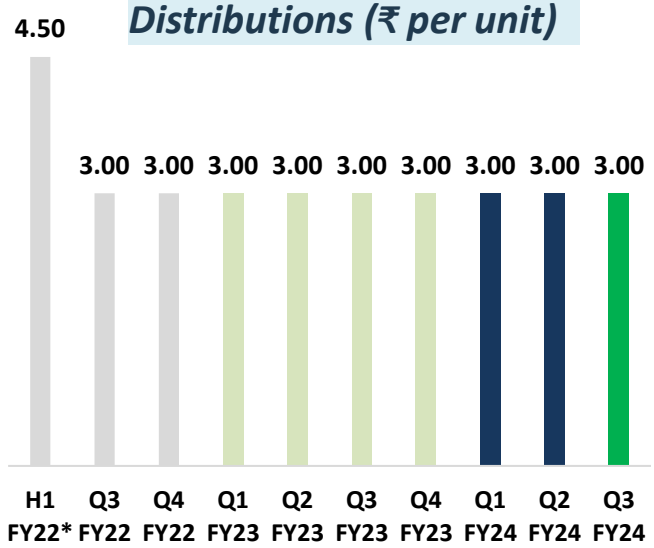
Distribution declared for Q3FY24

₹ 3.00 per unit

- ₹ 1.97 - Interest
- ₹ 0.39 - Dividend (Taxable)
- ₹ 0.16 - Dividend (Exempt)
- ₹ 0.47 - Repayment of SPV Debt
- ₹ 0.01 - Treasury Income (Exempt)

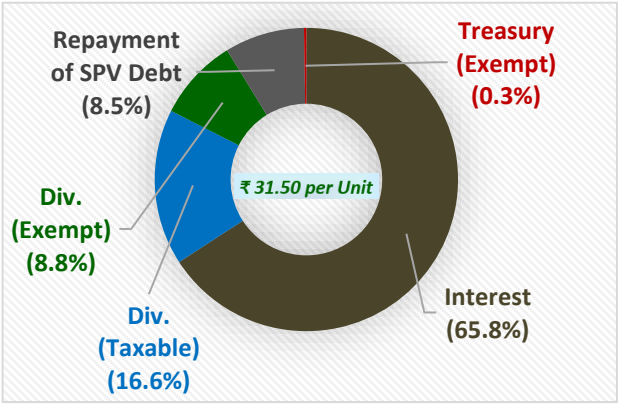
Record Date for Distribution – January 30, 2024

Distributions (₹ per unit)



*(*period May 13, 2021 to Dec.31, 2023)*

Total Distribution since IPO ₹ 31.50 per unit #



(# incl. Rs.3.00 declared on January 24, 2024)

Distribution Guidance for FY2023-24: ₹ 12 per unit

PGInvIT Distribution Policy

- InvIT Assets to distribute not less than 90% of each of their NDCF to the Trust
- Trust to distribute at least 90% of the Distributable Income to the Unitholders
- Distribution to be declared and made not less than once every quarter

Project Updates – RTM Project at Kala Amb Substation

1x125 MVAr, 420 kV Bus Reactor at Kala Amb Substation along with 2 Nos. associated bays

- Project allotted to PKATL by Ministry of Power, Govt of India under Regulated Tariff Mechanism
- Commissioning expected shortly
- License from CERC received
- Debt-Equity Ratio - 70:30
- Tariff to be determined as per applicable CERC Regulations
- Return on Equity: 15.5% (as per CERC Regulations 2019-24)

Project Updates – RTM Project at Parli Substation

Recent Development post Q3FY24

1 x 400 kV line bay at 765/400 kV Parli Substation for RE Interconnection

- Allotted to POWERGRID Parli Transmission Limited by CTUIL on Jan. 2, 2024
- 400 kV Line of a RE Generator getting connected at Parli
- Under Regulated Tariff Mechanism
- Implementation timeframe as per CTUIL communication: Dec. 31, 2025
- Estimated Cost: Rs. 18 crore*
- Tariff to be determined as per applicable CERC Regulations
- Return on Equity : 15.0% (as per Draft CERC Regulations 2024-29)

** Cost Estimated by CTU. Actual cost may vary.*

Business Outlook

Acquisition Opportunities

- Targeted through debt
- Valuation by Independent Valuer
- Corporate Governance Framework of PGInvIT
- Policy on Related Party Transactions

Balance 26% of PKATL, PPTL, PJTL & PWTL

- Not envisaged in Fiscal 2024

Others

- Asset Sale by Other Developers
  - Limited Acquisition opportunities at present- Sector to witness more assets getting commissioned in coming 12- 18 months
- GoI's guidelines to States for monetization of transmission assets
  - Policy Advocacy with States
- Targets under National Monetization Pipeline
  - As and when Sponsor undertakes Monetization through InvIT

Factors driving India's Power Sector

- Rising demand
- Focus on Energy Transition
- Cross-border linkages

Enablers for PGInvIT's Debt-funded Acquisition Strategy

- Industry witnessing growing investments
- Substantial headroom for debt-funded acquisitions
- Lenders' trust and confidence
- Highest credit rating of 'AAA' from CARE, CRISIL, and ICRA

Glossary

Term	Description
AUM	Assets Under Management
ckm	circuit kilometres
CPSE	Central Public Sector Enterprise
CTUIL	Central Transmission Utility of India Ltd
DOCO	Date of Commercial Operation
Q3FY24/Q3FY2024	Quarter ended September 30, 2023
PGInvIT	POWERGRID Infrastructure Investment Trust
IM	Investment Manager
InvIT	Infrastructure Investment Trust
IPA	Initial Portfolio Assets (used interchangeably with SPV)
IPO	Initial Public Offer
ISTS	Inter-State Transmission System
MVA	Mega Volt Ampere
NDCF	Net Distributable Cash Flows
OEM	Original Equipment Manufacturer
PJTL	POWERGRID Jabalpur Transmission Limited
PKATL	POWERGRID Kala Amb Transmission Limited
POWERGRID	Power Grid Corporation of India Limited
PPTL	POWERGRID Parli Transmission Limited
VTL	Vizag Transmission Limited (formerly POWERGRID Vizag Transmission Limited, “PVTL”)
PWTL	POWERGRID Warora Transmission Limited
RPC	Regional Power Committee
SPV	Special Purpose Vehicle (used interchangeably with IPA)
TBCB	Tariff Based Competitive Bidding
TSA	Transmission Service Agreement

Thank you